Should Minimum Wages be Higher?

Alastair Watt

April 14th, 2026

1 Introduction

In this essay I will be arguing why I believe that minimum wages in Canada should be moderately higher. I am not advocating for an unlimited, unchecked increase in the wage floor as I believe that there is not sufficient evidence to support this view given the potential risks. I am arguing that the best course is a moderately, carefully designed, and inflation conscious increase, that is strongly motivated by its benefits from an inequality standpoint. I will examine how minimum wages clearly raise wages near the bottom of the income distribution, how employment losses are theoretically possible but empirically often small and how wage minima are not a perfect anti-poverty tool.

2 Canadian Context

Before examining the theory and arguments, it is important to understand the current state of minimum wages in Canada and who they affect.

2.1 How do minimum wages work in Canada

Minimum wages are mainly set at the provincial level. Alberta, for example, has a minimum wage of $15.00, while Nunavut's is set at $19.75. Some provinces have a secondary rate for people under the age of 18 ($13.00 in Alberta). There also exists a separate federal wage that only applies in federally regulated sectors. This consists of sectors like transportation, communications and utilities, financial services and others - as of April 1st 2026 this is $18.15. In light of these differences we can see that Canada treats local labour-market conditions as relevant and the evidence leads me to believe that this approach should remain. From a policy point of view we can see the need to alter the question of "should minimum wages be higher?" to include "higher where, by how much and adjusted by what metric?".

2.2 Who does this actually affect?

Who does minimum wages actually affect in the Canadian economy and how significant are these effects? As of 2024 18.5% of employees earned below the low-pay threshold of $20.00/hour. Naturally this threshold has increased since then to account for inflation but the proportions would be similar today. Low-paid workers are not randomly spread throughout the economy as they are especially concentrated in certain sectors. 62.5% of workers in accommodation and food services industries were low-paid while in the retail industry the percentage is 52.1. As these are some of the most labour-intensive sectors in the economy, labour costs already make up a large proportion of overall costs. These points lead to obvious policy design considerations as increasing minimum wage will affect these sectors the most but what difficulties might arise for firms that already have high labour costs as a percentage of turnover.?

3 Theory: why do economists disagree?

The question of what happens when minimum wages are increased has long been debated by economists and policy makers. Before Card and Krueger (1994) the neoclassical model was widely accepted but, as I will outline below, after this ground- breaking paper the evidence has become less straightforward.

3.1 Standard competitive model

In the standard textbook model wages are determined, like most prices , by demand and supply. A downward sloping demand curve and an upward sloping supply curve meet and determine the market equilibrium. If a government sets a binding minimum wage above this equilibrium level, firms will demand less labour while individuals are willing to supply more of it. The gap that this creates is an increase in unemployment. This crucially assumes that markets are largely perfectly competitive and that workers face limited restrictions. This was not an unreasonable view and there is much evidence to suggest that market for goods and services behave in this manner. But as Card and Krueger argue, labour markets tend not to be as simple.

3.2 Imperfect labour markets

In 1992 New Jersey's lawmakers increased the minimum wage by 19% to $5.05 (USD). Card and Kreuger examined the employment effects on fast-food workers in New Jersey and bordering Pennsylvania. They controversially found no employment effects. Their findings have since reignited the debate around minimum wages as economists seek to measure the effects more completely and explain why there is not a clear answer.

In reality workers often face search frictions, switching costs, imperfect information, or limited opportunities geographically. These factors suggest that firms have a certain degree of oligopsony or monopsony power in setting wages. A standard competitive model is too simple to be realistic and this may form the basis for the introduction of a wage floor.

In an imperfect labour market, firms set the wage rate below the market equilibrium and as such we have scope to increase the minimum wage without causing increased unemployment. This view is held by many economists and offers an explanation as to why negative employment effects are notoriously difficult to detect. Alan Manning (2021) argues that positive wage effects are much easier to locate than negative employment effects, which is the foundation of this argument. While the benefits outweigh the negatives, a policy should be implemented. The point is not that unemployment will not increase as a result of a higher minimum wage, it is that this is an empirical question of balancing the size of the effects rather than a theoretical certainty.

4 Quantitative evidence

There is an abundant stock of quantitative literature showing the benefits of increasing the minimum wage especially for the lower-tail of the income distribution and inequality concerns.

4.1 Minimum wages affect the lower tail of the wage distribution

Minimum wages matter most for workers at or near the bottom of the wage distribution. A Bank of Canada report in 2017, which drew heavily on Fortin and Lemieux (2015), laid out the figures clearly. About 8% of employees work at the minimum wage (it is still around this today) and a 1% increase in the minimum wage increases wages by around 0.67% at the 5th percentile. The percentage increase in wages falls steeply as we climb up the income distribution with 0.31% and 0.08% increases in the 10th and 15th percentiles respectively and a statistically insignificant effect above the 15th.

These show that minimum wages are not a general wage policy for the entire labour market, it is directly focused on the bottom end and should be treated as an inequality issue.

4.2 Connection to the inequality content within the course

Wage inequality has many sources: skill premiums, residual inequality, polarization and institutions in the US as it does in Canada. With regard to the 50/10 gap wage inequality has grown considerably since the 1980s, especially for women.

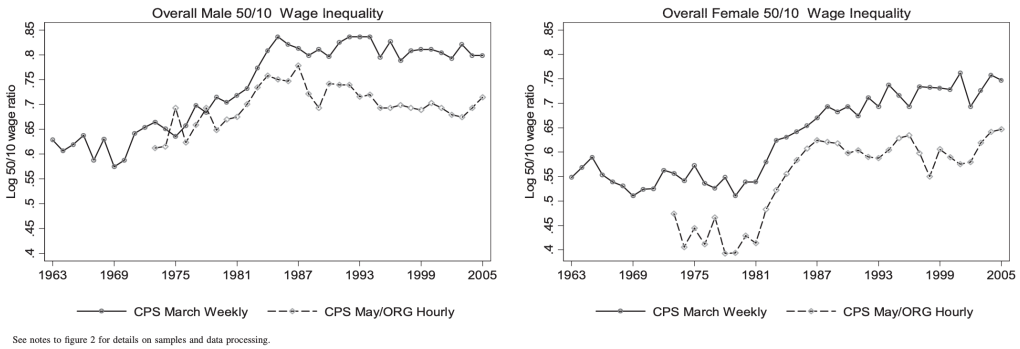

Figure 1: Autor, Katz & Kearney (2008)

There was a stagnation of minimum wages in the US during the 1980s as well as a deterioration of institutions that led to a notable increase in lower-tail inequality, as highlighted in figure 1. I believe this strongly reinforces the hypothesis that inequality is intertwined with minimum wages and in the next section I will frame minimum wage as a redistributive tool.

4.3 Welfare and redistribution

Later on I will touch more on why minimum wages are not a *perfect* tool for improving welfare but for the moment we should consider them as a redistributive tool to aid in the improvement of welfare.

The basic argument is that minimum wages reduces profits of firms by increasing costs, which admittedly can be particularly acute for some firms considering the make-up of low-pay workers as mentioned in section 2. Taking a utilitarian approach however this way of thinking may be justified. A society as a whole will benefit more from an extra dollar in the hands of a lower-wage individual, as their marginal utility is higher, than that dollar remaining in the hands of a higher-income employer or consumer. This logic may break down for new start-ups and smaller firms as employers may be making less than employees which is an important consideration for shaping policy.

Of course, thinking that this would come without a trade-off would be naive. A clear equity-efficiency trade-off occurs as there are costs associated with this form of redistribution. The costs are not the classic costs of tax and transfers but we still have a ”leaky-bucket”. Instead of losing tax revenue in administration costs or wasteful spending the trade off is between gains to certain low-paid worker and reduced employment, reduced hours, higher prices or other distortions affecting others.

Berger, Herkenhoff and Mongey (2025) find that minimum wages can improve welfare in this fashion but the optimal level strongly depends on the welfare weights they imposed in their model. Under complete utilitarian principles the optimal minimum wage would be $15.12 or 20.91CAD according to their model. Under Negishi weights, stripping out pure redistribution motives, minimum wages should only be $6.97 or 9.64CAD (exchange rates taken on 10th April). I believe that a balance should be struck between these two extreme outlooks, both have positives and negatives but as you will see in my policy recommendation I inclined to lean closer to a utilitarian framework.

5 Counterarguments

The arguments against minimum wages are valid as I will discuss, but I do not believe they outweigh the benefits. Instead they have helped me shape more specific recommendations to help dampen the more severe consequences.

5.1 Employment losses

The strongest objection to minimum wages is still employment. Average effects are small and elusive but some groups are more exposed than others. Younger workers, less educated workers and workers in labour-intensive sectors where wages already consist of a high proportion of overall costs are most affected. The Bank of Canada's 2017 report reviews the literature and the model scheduled increases finding possible employment losses of anywhere between 30,000 and 136,000 (0.0016% - 0.0073% of employment) . This is a very small percentage of overall employment in Canada and the dispersion itself suggests uncertainty but they also note that this burden would likely to be concentrated among younger workers. This would seem to rule out a much higher minimum wage on a general level but I don't believe it justifies ruling out a small and perhaps targeted increase. The issue of pricing out young workers has been recognised and addressed by 10 countries in Europe. They have sub-minimum wages based on age, 70% of the minimum for under 18's, 80% for 18 year old's, 90% for 19 year old's, etc. The range and scope of the different systems would be too much to include here, but despite their unpopularity in Western Europe, nations that have these differing rates tend to have lower rates of youth unemployment.

5.2 Prices and inflation

Another reasonable concern is the effect on prices and inflation. The mechanism is simple: employers keep their profits stable by passing higher costs onto the consumer. This is particularly acute in the non-traded services industry. Sara Lemos (2004) summarized and discussed the available evidence on the subject citing a range of different opinions and quantitative studies. She summarizes Sellekaerts (1981), Wolf and Nadiri (1981), MaCurdy and McIntyre (2001), among others. Lemos does not give a headline result herself, but based on the evidence it would be fair to conclude that a 10% in minimum wages results in a 0.2% - 0.5% prices increase overall. This is larger in specific sectors but the overall effect on prices is clearly quite small. The overall positive effect for certain groups may trump the negative of a general increase in the price level.

5.3 Minimum wage is not a perfect anti-poverty tool

As I have shifted the debate to a welfare and redistribution argument I will feel it necessary to address the fact that minimum wages are not a perfect anti-poverty tool. Minimum wages are much better at raising the lowest wages rather than addressing poverty. Not all low-wage workers live in poor households and not all poor households have workers who benefit from minimum wage increases. As I have noted many of those affected by an increase would be younger workers who tend to be living at home in middle-income households, especially in a developed economy such as Canada. Campolieti, Gunderson, and Lee (2012) found no statistically significant effect on poverty in Canada and estimated that about 30% of the net earnings gain from an increase goes to the poorest while roughly 70% spills over to the non-poor. It is worth noting that in real terms Canada has become richer since this study was conducted just in the wake of the financial crisis and that "poor" is centered on the Low Income Cut-Off threshold which is a stricter measure than the not low-pay threshold mentioned before. Regardless of this, it is a crucial finding as it suggests that a broad based increase may not have such a concentrated effect on the lowest incomes and has played a key role in my recommendations.

6 Extra adjustment channels beyond layoffs

There must naturally be a trade-off happening somewhere along the production process to explain why the employment effects are so low. Manning seeks to explain what this might be. As firms rarely choose to accept lower profits, they respond through several different channels. They usually reduce benefits in kind, reduce hours, or improve productivity. As these levers are difficult to quantify and track they might offer the best explanation of how firms bear the increase in labour costs. Hence, the downsides of an increase may not lie solely with consumers and employers but with employees as well. Employees, if not given the choice by employers, seem to prefer higher wages over benefits, as demonstrated by the continued popularity of minimum wages. In this way we could look at minimum wages as partially forcing employers to spend more on wages instead of benefits which are usually of second-rate importance for workers. It is also worth noting that larger more productive firms are much better able to absorb the costs than SME's.

7 Policy design: what exactly should Canada do?

After considering all the evidence in favour of an increase and the valid concerns, I have reached the following conclusions with regard to policy.

- The minimum wage should be indexed directly to 60% of the Canadian median hourly wage. As of 2025 this would be $18.46.
- It should also be indexed to annual CPI in the short run. This would be designed as a fail-safe in the case that inflation massively outstrips the median hourly wage.
- The provincial differentiation should remain. The proposed change would simply be a general minimum and replace the current federally regulated minimum while mandating it for general employment.
- A sub minimum wage for under 20's should be created at 45% of median hourly wage. As of 2025 this would be $13.85.
- More research should be conducted into the creation of a tiered minimum wage system. My idea for this would be that past a certain revenue threshold larger firms would have to pay a higher minimum wage.

A few key considerations motivated the above policy recommendations. The first being that Canada's minimum wage should be higher than it currently is. I believe that the benefits outweigh the positives especially when you take a utilitarian or semi-utilitarian perspective. I also believe that the current system of provincial minimum wages works well and should be kept. The concerns around youth unemployment and the employment effects more generally motivate the last two recommendations. A sub minimum wage for under 20's would ensure that youth unemployment levels do not increase and that firms are not discouraged to demand labour of this type. I will develop the final recommendation in the last section.

8 The Revenue-threshold idea

This recommendation is deliberately non-conclusive but its thesis is motivated by Berger, Herkenhoff and Mongey (2025). Although it was not their main result or their motivation for the paper, a complimentary finding of theirs was interesting. They found some evidence within their model that suggests larger more productive firms have more breathing room before a wage floor becomes strongly distortive while small low-productivity firms hit a point where they begin rationing labour sooner. My interpretation of this is that large firms can absorb the increased labour costs better and it takes an even higher minimum wage for them to begin seeing efficiency losses compared to smaller firms. At this stage there isn't enough evidence to conclude anything hence why it is

merely a recommendation to conduct more research. There are also a few glaring problems that may complicate a policy like this. Revenue is not profit. A high-revenue firm may have narrow margins while a smaller firm may be highly profitable. Thresholds can create avoidance behaviour and add significant administrative complexity. Firms will try to find work-arounds in order to keep their labour costs at the lower level and the additional complexity in setting and policing the policy may be too great.

9 Conclusion

To conclude, minimum wages in Canada should be higher, but only through moderate, cautious and indexed increases. In summary minimum wages clearly raise wages near the bottom of the distribution, the employment and price effects of moderate increases appear real but quite modest and they are easily defensible as a redistributive tool in imperfect labour markets.

Finally, it is imperative to note that they are not an anti-poverty policy tool. It should as such, be treated as one among many instruments to combat poverty along with basic services addressing mental health addiction and domestic issues. Minimum wages cannot and should not be looked at as the sole means of combating poverty.

References

Autor, D. H., Katz, L. F. and Kearney, M. S. (2008) 'Trends in U.S. Wage Inequality: Revising the Revisionists', *Review of Economics and Statistics*, 90(2), pp. 300-323.

Bank of Canada (2017) *The Impacts of Minimum Wage Increases on the Canadian Economy*, Staff Analytical Note 2017-26.

Berger, D. W., Herkenhoff, K. F. and Mongey, S. (2025) 'Minimum Wages, Efficiency, and Welfare', *Econometrica*, 93(1), pp. 265-301.

Campolieti, M., Gunderson, M. and Lee, B. (2012) 'The (Non) Impact of Minimum Wages on Poverty: Regression and Simulation Evidence for Canada', *Journal of Labor Research*, 33(3), pp. 287-302.

Card, D. and Krueger, A. B. (1994) 'Minimum Wages and Employment: A Case Study of the Fast-Food Industry in New Jersey and Pennsylvania', *The American Economic Review*, 84(4), pp. 772-793.

CRDCN (n.d.) *The impact of minimum wage on poverty*. Available at: `https://crdcn.ca/publication/the-impact-of-minimum-wage-on-poverty/`.

Derenoncourt, E., Noelke, C. and Weil, D. (2021) 'The Effects of Minimum Wages over the Long Run', *Journal of Economic Perspectives*, 35(1), pp. 3-26.

Fortin, N. M. and Lemieux, T. (2015) 'Changes in wage inequality in Canada: An interprovincial perspective', *Canadian Journal of Economics*, 48(2), pp. 682-713.

Government of Canada (2026) *Government of Canada raises the federal minimum wage*. Available at: `https://www.canada.ca/en/employment-social-development/news/2026/03/government-of-canada-ra`

Green, D. A. and Sand, B. M. (2015) 'Has the Canadian labour market polarized?', *Canadian Journal of Economics*, 48(2), pp. 612-646.

Lemos, S. (2004) 'The Effects of the Minimum Wage on Wages, Employment and Prices', *SSRN Electronic Journal*. doi:10.2139/ssrn.545667.

MaCurdy, T. and McIntyre, F. (2001) *Winners and Losers of Federal and State Minimum Wages*, Employment Policies Institute Paper.

Manning, A. (2021) 'The Elusive Employment Effect of the Minimum Wage', *Journal of Economic Perspectives*, 35(1), pp. 3-26.

Sellekaerts, D. (1981) 'Has the Minimum Wage Helped the Poor?', in *Report of the Minimum Wage Study Commission*, Volume VI, Washington D.C.: Government Printing Office.

Statistics Canada (2025) *Article 00002-eng*, Catalogue no. 14-28-0001. Available at: `https://www150.statcan.gc.ca/n1/pub/14-28-0001/2025001/article/00002-eng.htm`.

Wolf, E. N. and Nadiri, M. I. (1981) 'A Simulation Model of the Effects of an Increase in the Federal Minimum Wage on Employment, Output and Prices', in *Report of the Minimum Wage Study Commission*, Volume VI, Washington D.C.: Government Printing Office.